

BETTER BANKING WITH ESG

ICICI Bank's early initiatives included digitisation to reduce paper usage, improving energy efficiency, and encouraging sustainable operations

BY RAHUL OBEROI

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► **IN A WORLD** increasingly shaped by climate urgency and environmental, social, and governance (ESG) needs, ICICI Bank has emerged as a sustainability frontrunner in the domestic banking sector. Its holistic approach—spanning responsible lending, sustainable business practices, and digital transformation—has earned it the *Business Today* Sustainability Leadership Award in the BFSI category for the banking sector. The bank's journey toward sustainability began long before ESG became a buzzword. "ICICI has been in the service of the nation for the last 70 years," says a spokesperson from the bank. "In these seven decades, we've consistently aligned our goals with India's economic and societal progress." A significant milestone came in 2008 with the establishment of the ICICI Foundation for Inclusive Growth, aimed at deepening the bank's impact on social and environmental development.

The lender's early initiatives included digitisation to reduce paper usage, improving energy efficiency at branches and offices, and encouraging sustainable operations. Over the years, this transformed into a more structured and data-driven approach. In 2022, ICICI Bank adopted a board-approved ESG policy that outlined its

long-term sustainability vision, guiding philosophy, and governance structure. "The policy also lays down the governance structure, the key focus areas, and commitments to the bank's important stakeholders. As an outcome, a dedicated ESG team was set up in 2022," the spokesperson says.

The bank utilises sector-specific ESG risk assessment questionnaires to evaluate large borrowers, particu-

larly in high-emission sectors. ESG scores from external agencies are also factored into lending decisions. "At the end of FY25, this approach was being used across 20 sectors," the spokesperson adds. In some instances, go/no-go criteria are used to avoid financing activities with high environmental risk. The bank has also conducted a climate scenario analysis, evaluating how physical

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→ The bank utilises sector-specific ESG risk assessment questionnaires to evaluate large borrowers, particularly in high-emission sectors

→ It also conducted a climate scenario analysis, evaluating how physical and transition risks could impact capital provisioning and credit loss estimates

→ It is conducting training and awareness programmes for employees and management